

Week ending: 4th June 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** and **182-day** T-bills were undersubscribed recording **34.34%** and **99.94%** respectively, while **364-day** T-bill was oversubscribed recording **276.26%**. The CBK accepted KES **1.34**, **9.87B** and **11.66B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer, accepting a total of **22.87B.**

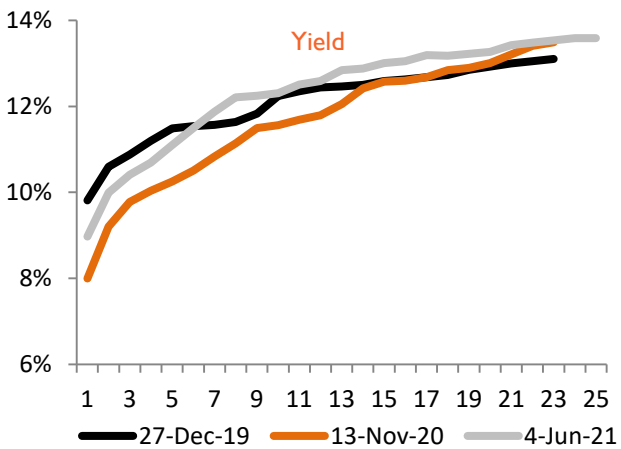
The Central Bank of Kenya re-opened two fixed bonds **FXD1/2019/20-(17.9yrs)** and **FXD1/2012/20-(11.4yrs)** that runs from **02/06/2021** to **15/06/2021,** in a bid to raise KES **30Bn.** The coupon rates for the bonds were **12.873%** and **12.000%** for the **FXD1/2019/20** and **FXD1/2012/20** respectively. The bonds will attract a withholding tax of **10%.**

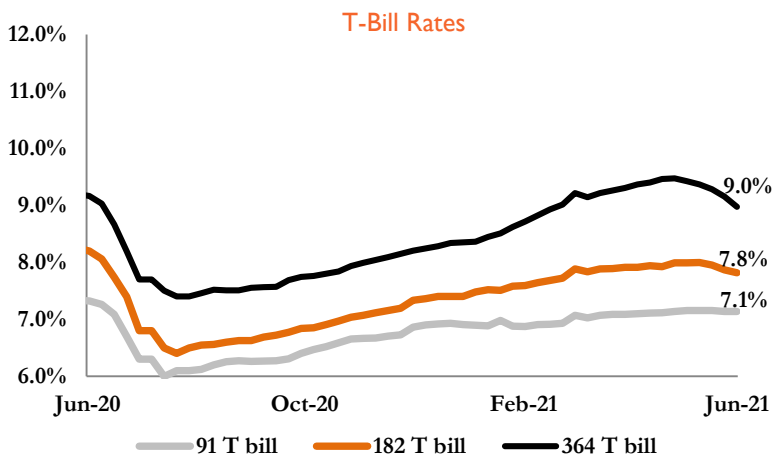
Key Indicators

	Current	Previous	% Change
91- Day	7.14%	7.14%	0.00%
182-Day	7.82%	7.87%	-0.05%
364-Day	8.97%	9.16%	-0.19%
Interbank Rate	4.87%	4.96%	-1.81%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (May)	5.87%	5.76%
Private sector credit growth (March)	7.70%	9.70%
Money Supply (March)	10.10%	12.40%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.24%** to stand at **107.80**.The CBK's usable forex reserves currently stands at **USD 7,510 million** (**4.59** months of import cover) as at June 3rd,a **0.40%** increase from **USD 7,480 million** (**4.57** months of import cover) at May 27th.

Inflation

In May, Headline inflation increased to **5.87%** from **5.76%** in April. The CPI increased by **0.20%** from **114.75** in April to **114.98** in May. This increase was driven by the higher food and fuel inflation compared to the previous month. Meanwhile, food and beverage index increased by **0.32%** due to the increase in prices of select food items, while transport index increased by **0.69%** due to increase in prices of petrol. Favorable weather conditions is likely to cause a decrease n food prices, leading to a decrease in headline **i**nflation as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded to **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. Economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%**, **4.7%** and **9.9%** growth respectively.

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